FINAL EXAMINATION

Business Organizations

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1. This exam is four pages (including this cover page) and consists of three questions. The weight to be given to each question for grading purposes is indicated.

2. You have three hours to complete the exam.

3. The exam is open book. You may consult any materials you wish. But you may not use the internet.

4. There are no word limits. But recognize that my aim in grading will be to assess the extent to which answers indicate mastery of the law of business organizations. Offering extraneous ideas, complicating simple issues, or discussing matters not necessary or relevant to answering the question posed signals a weak grasp of what matters and thus a weak grasp of how the law works. At some margin you ought to focus on precision and clarity of expression rather than quantity of information.

5. Do not worry about citation formats. Assume you are writing for a reader who is familiar with the texts assigned in the course syllabus but who has not thought carefully about the relationships among them or what they mean for the resolution of particular disputes.

6. The fact pattern in question 1 is inspired by recent, real-world events. The question is not, however, a test of your knowledge of those events. The prompt may differ in important respects from the events that inspired it, and you should not assume facts not in the prompt. Moreover, you should answer on the basis of statutory and case law assigned for, or otherwise discussed in, our course, not from the happenstance of your knowledge (if you have any) of the inspirational events.

Question 1
[60 points]

Acme Inc. is a Delaware corporation with publicly traded stock whose retail business has traditionally focused on selling video game consoles and software from shopping mall locations across America. The company was a famous success in the 1990s and into the 2000s. But operating performance has suffered in recent years as customers have abandoned malls in favor of app stores and Amazon delivery. Several years of mounting losses cast a dark shadow on Acme's future. In the last 12 months, though, something unusual has happened. Millennial nostalgia has led to a resurgence in investor interest in the company. Retail (i.e., individual) investors have piled into Acme stock, driving the price up from $2/share, at the nadir, to above $10/share in the last month.

The net sellers of Acme stock have been institutions such as mutual and hedge funds. The biggest owners—Vanguard, Blackrock, and State Street—now together own approximately 14% of Acme's shares. Other, smaller institutions collectively own around 15%. Acme's executives and senior employees own 2%. And the rest of the stock—nearly 70%--is owned by scattered retail investors.

Recently Alan Activist, the manager of a hedge fund that owns approximately 1% of Acme's stock, asked Acme's CEO, Louise Leader, for a meeting at which Activist would lay out a strategic initiative he hoped Acme's board would consider. At the meeting, Activist urged that Acme should sell additional stock and use the proceeds to invest in growing the company's nascent online platform. At the prevailing stock price, Activist said, it would be criminal for the board not to sell more and raise cash for the business.

There was just one problem, Activist acknowledged. Acme's certificate of incorporation does not allow the company to issue many more shares. The certificate authorizes the issuance of 1,000,000,000 shares of common stock (each share being entitled to one vote), and Acme already has 980,000,000 shares outstanding. Selling a mere 20,000,000 additional shares would not do the trick. "The company should be trying to raise a few *billion* dollars," Activist concluded.

Leader took the idea to the board. (The board is composed of nine members elected annually: Leader and eight outside directors who hold minimal amounts of Acme stock.) Everyone knew Activist's reputation for antagonism. Perhaps surprisingly, though, Acme's directors were in unanimous agreement that Activist's thought was a good one. The board charged Leader with finding a path forward if feasible.

Leader reached out to her friend, the former pizza mogul turned corporate lawyer Abby Zobair, for advice navigating the technicality Activist had mentioned. The challenge was in a sense straightforward. Activist was right that the certificate allowed only a small amount of additional shares. If the board wanted to sell more—and the directors had settled on approximately 400,000,000—the certificate of incorporation would need to be amended. Under DGCL § 242(b), that would require the approval of a majority of the outstanding stock entitled to vote. But here was the rub. Most retail investors don't vote. Even if the vast majority of shareholders would, if polled, approve of the amendment, the high proportion of retail investors in Acme's stock meant that the board would be unlikely to get the votes it would need.

After working her minion, Holland, around the clock for below-market wages, Zobair settled on a plan which she presented to Acme's board a couple of days later:

> In addition to authorizing a billion shares of common stock, Acme's certificate authorizes one *million* shares of what is often called "blank-check" preferred stock. That is, the certificate authorizes the board to issue a million shares of preferred stock having whatever attributes the board thinks appropriate. I advise that the board issue to Activist 1,000,000 shares of a new class of preferred stock, for a price of $0.01 / share, with the following characteristics: (1) the stock has a liquidation preference of $0.01 / share and is not convertible into common; (2) Acme, by board resolution, is entitled to redeem the stock at any time for a price of $0.01 / share; (3) each share is entitled to 1000 votes voting together with the common shares. Given Activist's goals, that should do the trick.

Slowly, one by one, the directors stood and slow clapped. They loved the plan. Acme's PR team got to work crafting a press release that described the initiative and set a date 60 days hence for a special meeting at which shareholders would vote on the amendment. The release explained that the new preferred shares would be issued as soon as the company was able to deal with SEC red tape.

Your client, Donnie Digital, saw the press release. He is in the online video game business and not too keen to have Acme as a new competitor. He owns a few shares of Acme stock—a gift from his grandfather when he was a teenager—but would rather see it go to zero than face a new entrant in a crowding market.

Digital wants your advice on legal recourse he might have to stop Acme. How would the court of chancery think about a suit seeking to block the transaction?

Question 2
[20 points]

Legal texts such as statutes and judicial decisions do more than clarify doctrine. They also reflect principles, insights, and values (and tensions between the same) that recur thematically across doctrinal categories. Indeed, to the extent that enactment of a statute or announcement of a decision resolves legal ambiguity, it does so by emphasizing one principle or source of value over another. In this sense, even texts that speak to quite different concrete situations can disclose deep structure or development as well as intractable or perennial difficulties in a field of law.

In that spirit, please compare *Scott v. Depeyster* with *Marchand v. Barnhill*.

Question 3
[20 points]

Please compare (a) *Unocal v. Mesa Petroleum* and *Revlon v. MacAndrews & Forbes* with (b) *Air Products v. Airgas* and *Corwin v. KKR Financial Holdings*.